WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

BRITISH VIRGIN ISLANDS

Americas

Information current as of October 2026

Dialogue | Trust | Partnership

office@lordwaverley.com
www.lordwaverley.com

WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Road Town, Tortola	Capital of this British Overseas Territory and seat of the Premier, the Governor's Office, the Financial Services Commission and the Commercial Division of the High Court; hub for a register of 354,015 companies	Corporate, legal, trust and fund services, public administration
Terrance B. Lettsome International Airport (Beef Island)	Main air gateway; Cabinet endorsed extending the 4,648 ft runway to 7,000 ft in October 2025, with partner procurement following	Aviation, construction, airlift and tourism logistics
Cyril B. Romney Tortola Pier Park	Central cruise hub; record 875,127 cruise arrivals in 2025 and a further 29.3% rise in January to March 2026	Cruise services, retail, ground transport, hospitality
Virgin Gorda and North Sound	Premium resort and yachting cluster, with ongoing development at Bitter End, Oil Nut Bay and Leverick Bay	Luxury hospitality, branded residences, marinas
Prospect Reef and Tortola hotel sites	Government preparing a request for proposals for a high-quality hotel at Prospect Reef, alongside planned projects at West End, Long Bay and Brandywine Bay	Hotel development, real estate, tourism attractions
Ferry terminals (Road Town, West End, Virgin Gorda)	Sea gateways for inter-island and regional traffic, with Virgin Gorda port works from November 2025 and Road Town and West End terminal upgrades in 2026	Port and marine services, construction, transport
Anegada	Low-lying outer island where a solar farm now supplies power 19 hours a day, a model for wider solar expansion in 2026	Renewable energy, eco-tourism, fisheries

INVESTOR ENTRY ROUTES

- Company formation under the BVI Business Companies Act, overseen by the Financial Services Commission (FSC); 31,134 new companies were incorporated in 2025, the highest in four years
- A simple tax regime: companies are generally exempt from income tax, with no withholding tax, VAT or sales tax; payroll tax (8% employee, 2% or 6% employer) and economic substance rules apply
- The US dollar is the official currency and there are no exchange controls, so profits and capital can be repatriated freely

- Regulated investment-fund and Virtual Assets Service Providers regimes, with 2,296 registered funds and 27 VASP licensees at end-June 2026
- Trade licence for operating businesses and a Non-Belongers Land Holding Licence for foreign property buyers, with 12% stamp duty; some local-market activities are reserved for BVI nationals or joint ventures
- Hotels Aid and Pioneer Services legislation offering duty concessions for qualifying hotel and pioneer projects, alongside government requests for proposals for the airport and Prospect Reef hotel
- English common-law system with a specialist Commercial Division, final appeal to the Privy Council and an Arbitration Act based on the UNCITRAL Model Law, with awards enforceable under the New York Convention

MARKET-ENTRY OBSERVATION

The British Virgin Islands in October 2026 is one of the world's leading corporate domiciles, combined with a fast-growing tourism economy. Nominal GDP was $1.82 billion in 2024 after real growth of 3.3%, and the Ministry of Finance projects 1.0% growth in 2026 with inflation of about 2.3%. Company incorporations rose 14% to 31,134 in 2025 and the first quarter of 2026 was the strongest since 2022, while financial-services fees reached $253.6 million in 2024, over half of government revenue. Tourism set a record of 1,202,008 visitors in 2025, cruise arrivals rose a further 29.3% in early 2026 and overnight arrivals about 6%. Governance reform has advanced: the UK revoked the draft order to suspend parts of the Constitution, formally laid in February 2026, and legitimate-interest access to the beneficial ownership register became operational in April 2026. The 2026 budget of $550.6 million, the largest on record, includes $80 million of capital spending.

The territory's main structural challenge is concentration: financial and insurance activities produce about 32% of GDP, so international standards on transparency directly shape the core industry. The BVI was placed under FATF increased monitoring in June 2025, but the Caribbean Financial Action Task Force now rates it Compliant or Largely Compliant with all 40 FATF Recommendations, the FATF recognised further progress in June 2026 and the government reports over 92% of its action plan complete. Under the EU tax list review of October 2026 the BVI remains on the Annex II watch list, not the Annex I list of non-cooperative jurisdictions. Diversification is under way through record cruise growth, new resort projects and the planned 7,000 ft runway, which would open direct long-haul air access. For investors, a dollar economy with low public debt, a deep professional-services base and a clear path out of FATF monitoring offers opportunity in fund and corporate services, hospitality, marine tourism, infrastructure and renewable energy.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
FATF increased monitoring (grey list)	The BVI has been under FATF increased monitoring since June 2025, which can add enhanced due diligence for counterparties	All 40 Recommendations are now rated Compliant or Largely Compliant and over 92% of the action plan is reported complete; build modest onboarding time into plans and position for an expected exit
EU tax list status	The BVI remains on the EU's Annex II list of jurisdictions with pending commitments after the October 2026 review; it is not on the Annex I list that triggers EU defensive measures	Take EU tax advice for EU-linked structures and favour arrangements with real local substance
Reliance on financial-services revenue	Financial-services fees provide over half of government revenue, linking public finances to company-formation demand	Rising incorporations, growth in funds, limited partnerships and VASPs, and record tourism are broadening the base
Air access and runway length	The 4,648 ft runway limits direct flights by larger aircraft, and overnight arrivals remain below the 2016 peak	The 7,000 ft extension endorsed in October 2025 creates openings in construction, aviation services and hotels timed to new air links
Public borrowing limits	The 2012 Protocols for Effective Financial Management with the UK cap borrowing, and the Premier has estimated the airport cost at over $400 million	Low debt of about $171 million and the government's development-partner approach create room for public-private partnerships and private capital

Issue	Potential Impact	Possible Mitigation
Hurricane exposure and import dependence	The islands are exposed to Atlantic hurricanes and import most goods and fuel, which can raise costs	Build resilient design and insurance into projects; the solar programme and water and port upgrades offer investment openings
Governance reform implementation	The UK has acknowledged progress but asked the Governor to publish reform assessments every six months	Regular public reporting improves transparency; use established procurement and licensing processes and experienced local counsel

INVESTOR RISK NOTE

The British Virgin Islands' risk profile is that of a stable, dollar-based British Overseas Territory with an English common-law system, Privy Council appeals, low public debt of about $171 million and a world-leading corporate registry. The principal considerations are compliance and concentration rather than macroeconomic stability. FATF increased monitoring since June 2025 means counterparties may apply enhanced due diligence, but technical compliance is now rated Compliant or Largely Compliant across all 40 FATF Recommendations and the government reports its action plan over 92% complete. The BVI remains on the EU's Annex II list rather than Annex I, and investors should still take tax advice for EU-linked flows. Governance reform has progressed sufficiently for the UK to revoke the draft order to suspend parts of the Constitution, with six-monthly reporting continuing. Investors in tourism and infrastructure should plan for hurricane resilience and for the timetable of the runway project.

MARKET ACCESS

The British Virgin Islands is a British Overseas Territory, with the UK responsible for defence and foreign affairs, and uses the US dollar as its currency, removing exchange-rate risk for dollar-based investors. It is an associate member of CARICOM and in 2026 applied for full membership while also seeking full membership of the OECS. The territory has no double tax treaties but has concluded more than 25 tax information exchange agreements, and BVI companies are used widely for investment into Asia, Latin America and other markets, supported by a government representative office, BVI House Asia, in Hong Kong. Tourism, the second economic pillar, is served by cruise calls at Road Town, regional ferry links through Road Town, West End and Virgin Gorda, and air connections via Beef Island, which the runway extension would expand to longer-haul routes.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the Premier and Ministry of Finance (Premier Natalio D. Wheatley)	The Premier is also Minister of Finance, setting the budget, the capital programme and policy on the airport, tourism and financial services	Primary reference point for major projects and engagement with government priorities
Governor's Office (Governor Daniel Pruce)	Represents the Crown and the UK government and publishes six-monthly assessments of governance reform	Key channel for UK-linked engagement and the constitutional framework
Financial Services Commission (FSC)	Independent regulator for companies, funds, trusts, insurance, banking and VASPs; the BVI has no central bank, so the FSC is the core financial authority	Essential for licensing, structuring and regulatory compliance
BVI Finance and BVI House Asia	Promote the BVI as a financial centre, with a government representative office in Hong Kong serving Asian clients	Useful entry point for market intelligence, events and introductions to service providers
Ministry of Communications and Works and BVI Airports Authority	Lead the 7,000 ft runway extension, its business case and partner procurement	Counterparts for aviation, construction and infrastructure partnerships
BVI Ports Authority	Operates the Tortola Pier Park cruise hub and ferry terminals undergoing upgrades	Relevant for cruise, marine and port-related investment

Actor	Why It Matters	Waverley Engagement Angle
Financial Investigation Agency (FIA)	Financial intelligence unit with enhanced powers, central to AML/CFT reforms under the FATF action plan	Relevant for understanding compliance expectations and the path out of FATF monitoring

CURRENT INTERNATIONAL BUSINESS CHANNELS

The BVI Chamber of Commerce, which announced its 2026-27 board, and the BVI Yachting, Hotel and Tourism Association are the main private-sector bodies for local business and hospitality investors. BVI Finance and the government's Hong Kong office, BVI House Asia, run outreach and trade missions to Asian and other markets, and the government's annual Virgin Islands Tourism Summit, held in June 2026, showcases resort and infrastructure projects. The Caribbean Development Bank is a development partner, and UK engagement runs through the Governor's Office and the Premier's regular meetings with the UK Minister for the Overseas Territories. The territory's large international law, trust and fund-administration firms are a practical source of intelligence on structuring and regulatory change.

INVESTOR PROFILE BEST SUITED

The British Virgin Islands best suits investors who need a well-established, dollar-based common-law jurisdiction for holding companies, investment funds, secured finance and trust structures, as well as fintech and digital-asset businesses using the VASP regime. Luxury hospitality, branded-residence, marina and yachting investors can build on record visitor numbers and a pipeline of resort sites, while construction, aviation and engineering firms can target the runway extension and port upgrades. Renewable-energy and utility investors can follow the expanding solar programme. Financial-structure investors should factor in FATF monitoring and the EU Annex II status and take specialist advice.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage the Premier's Office and Ministry of Finance on project fit
Open early dialogue on how a project aligns with the 2026 budget priorities, incentives and the government's development-partner approach.

STEP 2: Structure through the FSC framework with local counsel
Use experienced BVI law and fiduciary firms to select the right company, fund or VASP vehicle and to meet substance and beneficial ownership requirements.

STEP 3: Plan for enhanced due diligence while FATF monitoring continues
Prepare clear ownership and source-of-funds documentation for banks and counterparties, and track the BVI's progress toward exiting FATF monitoring.

STEP 4: Secure licences and land approvals early
Obtain the trade licence and Non-Belongers Land Holding Licence, and budget for stamp duty and work permits in project timelines.

STEP 5: Track the airport and resort procurement pipeline
Follow the runway extension partner process and the Prospect Reef hotel request for proposals, timing tourism investments to improved air access.